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To: Members of the Executive Board
From: The Secretary
Subject: Chad - Staff Report for the 1994 Article IV Consultation

Attached for consideration by the Executive Directors is the staff report for the 1994 Article IV consultation with Chad, which is tentatively scheduled for discussion on Friday, February 17, 1995.

Mr. Riechel (ext. 34548) or Mr. Tchatchouang (ext. 38428) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

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CHAD

Staff Report for the 1994 Article IV Consultation

Prepared by the Staff Representatives for the
1994 Consultation with Chad

Approved by Christian Brachet and Chanpen Puckahtikom

January 26, 1995

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I. Introduction

The 1994 Article IV consultation discussions with Chad were conducted in N'Djaména during the period November 5-20, 1994. 1/ The mission met with the Prime Minister, the Minister of Finance and Computer Services, the Minister of Plan and Cooperation and President of the High Interministerial Committee; members of the High Interministerial Committee; and senior officials from various ministries and agencies. The mission also held discussions with the National Director of the Bank of Central African States (BEAC) 2/ and other officials of the BEAC, and with representatives of the trade unions and the employers' association. The head of the mission was received by the President of the Republic. The mission also was to conduct discussions on the first review under the stand-by arrangement approved by the Fund on March 23, 1994, but these could not be concluded.

Chad is on a 12-month consultation cycle and continues to avail itself of the transitional arrangements of Article XIV. 3/ The last Article IV consultation was concluded on October 3, 1993 (EBM/93/141). At that time, Executive Directors observed that recurring civil wars had greatly weakened general administration, revenue collection, and expenditure control. They hoped that the political framework that had been established by the recent national conference could be used to restore the conditions for orderly government. In particular, Directors urged accelerated implementation of the demobilization program for the army and stressed the need for regaining control over the fiscal situation. Directors also encouraged the authorities to pursue vigorous structural reforms in a number of areas, including the public enterprise sector. Finally, noting the continued deterioration in the terms of trade and the loss of competitiveness, Directors emphasized the need to broaden the adjustment strategy through exchange rate action.

Following the devaluation of the CFA franc, effective January 12, 1994, the authorities adopted an economic adjustment program covering the period January-December 1994. In support of this program, the Fund approved a stand-by arrangement in an amount equivalent to SDR 16.52 million (40 percent of quota). The principal objectives of the program were to ensure that the price and incentive effects of the devaluation would be accompanied by appropriate measures to achieve a lasting improvement in competitiveness and growth. Because it was also essential to break the vicious circle of

1/ The staff team consisted of Mr. Riechel (head), Mr. Tchatchouang, Mr. Cossé, Mr. Thiam, and Miss Langevin (assistant), (all AFR). A World Bank mission was also in the field. It concentrated on the implementation and expansion of its capacity-building program, and on the preparation of the planned public expenditure review.

2/ Banque des Etats de l'Afrique Centrale.

3/ Summaries of Chad's relations with the Fund and the World Bank are provided in Appendices I and II. The principal statistics are contained in Appendix III, and statistical issues are reported in Appendix IV.

structural disintegration of public administration and secular decline of private sector activity, a significant injection of funds was needed to reduce domestic arrears to suppliers. Following Board approval of the stand-by arrangement, Chad made an initial purchase of SDR 10.325 million, or the equivalent of the first credit tranche. A part of the proceeds from this purchase was placed into an account for meeting debt service obligations to the Fund in 1994. No further purchases have been made since.

With the convening of a national conference in early 1993, Chad embarked upon a process of democratization, which resulted in the adoption of a charter for the transition Government and High Transition Council (CST - the current legislative body). Initially, presidential, legislative, and municipal elections were to be held within 18 months from the adoption of the charter. However, delays in setting up parties and agreeing on electoral legislation, as well as in drawing up a new constitution, have caused the elections to be postponed to April 1995.

II. Economic Developments and Performance Under the Stand-By Arrangement

Economic and financial developments since early 1994 have been mixed. On the positive side, the devaluation of the CFA franc and the accompanying measures have given a strong boost to the traded goods sectors. Cotton production is expected to increase by more than 40 percent during the 1994/95 season. Exports of livestock have surged, reaching their level in 1993 as early as June 1994; production and exports of arabic gum are expanding rapidly; and there are signs of an increase in demand for domestic import substitutes. In addition, ample rainfalls since mid-1994 have helped improve the supply of domestic foodstuffs and reverse the 1993/94 shortfalls in agricultural production. Together, these factors suggest a recovery of real GDP in 1994, to around 4 percent, much higher than the 1.4 percent that had been projected under the program (Appendix III, Table 1). ^{1/}

Strong export growth, in conjunction with the slowing of imports triggered by the income effect of the devaluation on import demand and temporary transit problems in northern Cameroon caused the current account deficit of the balance of payments (excluding official transfers) to drop below 20 percent of GDP in 1994, from more than 26 percent in 1993. The balance of payments has been helped further by the mobilization of exceptional external financing and the repatriation of flight capital, so that the net foreign assets of the banking system increased by almost CFAF 43 billion during the first nine months of 1994. This improvement

^{1/} Although there have been improvements in the quality and timeliness of national accounts and price data, serious weaknesses remain in virtually all areas of statistics and hamper the economic analysis.

mirrored a near doubling of bank liabilities to the private sector 1/ and stagnant bank credit growth, following a brief seasonal surge in the first quarter of the year. 2/ As a result, banks fully repaid their earlier recourse to central bank rediscounts and built up sizable reserves in the form of special deposits at the Central Bank. The performance criteria and benchmarks for the expansion of net bank domestic assets were therefore easily observed.

Against these encouraging developments, a number of factors greatly complicated program implementation, especially during the first half of the year. In particular, the transit problems in the north of Cameroon resulted in a complete stoppage of imports of petroleum products, and a significant slowdown of other, mostly low-cost manufactured imports, from Nigeria. Along with the shortfalls in farm output in the 1993/94 agricultural season, these disruptions caused consumer prices to rise by more than can be explained by the devaluation (56 percent by August 1994), and the social climate to deteriorate significantly. Since July, however, inflationary pressures have subsided in response to the normalization of import flows and improved domestic food supplies. Price inflation (year-on-year) is now estimated to have declined to about 40 percent by year-end.

These difficulties were exacerbated by weaknesses in public administration and shortcomings in economic policies in the first half of the year, which had a particularly damaging effect on revenue performance. First, the initial failure of the authorities to adequately explain the program to the civil service and the general public severely hampered program implementation. Second, the absence of mechanisms in government to ensure coherent program implementation resulted in incomplete and, at times, contradictory policy measures. Third, owing to the late adoption of the 1994 budget by the High Transition Council, a number of actions were taken with considerable delays. Finally, program implementation was hampered by absenteeism as well as recurrent and lengthy strikes in the civil service, which had been paid very irregularly in 1993. (Average salary arrears amounted to about six months of pay at end-1993 and increased by another three months in 1994, of which 2 1/2 months in the first half).

In this setting, a number of performance criteria for end-June 1994, and of benchmarks for end-September 1994, were not met (Appendix III, Table 2). The principal slippages occurred in government revenue

1/ This strong increase, however, may not have been traceable in full to the strengthening of money demand because of the practical obstacles to increased imports during a large part of the year.

2/ The low credit growth has reflected primarily weak private sector credit demand as a result of (a) the strong growth of revenue of exporting firms after the devaluation; (b) the high rate of repayment of arrears to suppliers; (c) the liquidity effects of the repatriation of flight capital; and (d) a general wait-and-see attitude.

collections, which, at less than CFAF 10 billion (2 1/4 percent of GDP), fell short of the June benchmark by CFAF 7 billion. Although the situation improved considerably during the third quarter, when the authorities took a number of corrective measures (see below), the shortfalls experienced during the first semester could not be made up. The performance criteria for the settlement of domestic and external payments arrears thus also were not observed, while the objective of restoring regularity in payments of wages and salaries to civil servants remained elusive. 1/ The cash situation was aggravated further by shortfalls in program financing, which by end-September 1994 had reached only 48 percent of the programmed amount, in part because of slippages in program implementation and/or failures to meet program loan conditionalities. 2/

Overall, the revenue shortfall is estimated at 3 1/4 percent of GDP in 1994, as against a prospective shortfall of 4 3/4 percent on an annualized first-semester basis. To contain the fiscal deficit, the authorities drastically curtailed spending on goods and services, transfer payments, and investment. They also accumulated additional wage and salary arrears (approximately three months of pay). In the event, the current primary deficit (commitment basis) is estimated to have been held to 4.4 percent of GDP in 1994, compared with 5 percent in 1993, and a program target of 3.5 percent. Similarly, the overall fiscal deficit (commitment basis, including grants) was held to 11.6 percent of GDP, compared with 10.1 percent in 1993 and an objective of 11.2 percent. These deviations, together with the shortfall in external program assistance, led to a further accumulation of arrears (CFAF 6.5 billion through September) on external debt service.

III. Report on the Discussions

Given the magnitude of the slippages in the first half of 1994, the discussions focused on the impact of the corrective measures that had been implemented after the June 1994 staff visit, and on the supplementary action that would be needed to reach objectives broadly similar to those of the initial program. They also encompassed structural policy measures to improve the functioning of the administration and the economy, and permanently increase revenue and lower government claims on resources. To establish a track record of performance that could lay the basis for later discussions on a program supported by the enhanced structural adjustment facility (ESAF), a staff-monitored program, which calls for a strengthening

1/ The room under the ceilings on net bank credit to the Government indicated in Appendix III, Table 2, is misleading because it represents undrawn foreign aid that was earmarked for spending objectives other than wages and external debt service.

2/ In addition, Chad's request for a Paris Club debt rescheduling was deferred in September for later consideration.

of fiscal adjustment and a considerable reinforcement of structural policy measures relative to the initial program, was developed for the nine-month period through end-June 1995.

The authorities' policy framework and objectives remain broadly unchanged for the medium term. Economic growth is expected initially to benefit from a continued strong expansion of exports, to be supported later by a resumption of consumption and investment. Average growth of real GDP during 1995-97 is projected to reach 5 percent, thus ensuring a satisfactory increase in per capita income. For inflation, the objective is to return to low single-digit levels as soon as possible, consistent with the maintenance of a fixed peg for the currency and external competitiveness. Regarding the fiscal and external positions, the principal objective is to achieve viability over a realistic period of time, where the latter will be a function of the as yet unknown level of stable external financing in the context of an ESAF-supported program.

1. Program ownership and implementation

The authorities shared the concerns of the staff about the policy slippages that had occurred at the start of the program. However, they also noted that the difficult political environment, as well as a series of adverse external factors, had played a role. The diverse coalition that constituted the transition Government had made consensus building and program implementation difficult, and existing structures of command and responsibility had been ill adapted to a concerted and decisive adjustment policy. To remedy the situation, a number of measures had been taken since the middle of 1994 to strengthen awareness and ownership of the program, streamline administration, and ensure a timely implementation of policy measures. In particular, a system of high-level committees had been established in June 1994 to focus on the "Preparation, Negotiation, and Monitoring of Structural Adjustment Programs." ^{1/} Since end-June 1994, these committees had held regular meetings, and reports on economic developments and program implementation had been issued to the Fund and World Bank staffs and, in an effort to increase transparency, to Chad's principal donors.

Changes had also been introduced in the organization and staffing of a number of key ministries, including the Ministry of Finance and its revenue departments. First, to improve the monitoring and servicing of Chad's external debt, the former Autonomous Amortization Agency (CAA) had been integrated into the Ministry of Finance and made into a Department of Debt and Investment (DDI). Technical assistance in debt management had also been requested, for which World Bank financing is available. Second, a number of

^{1/} For details on the purposes, composition, and functioning of these committees, see the corresponding note in the paper on recent economic developments.

high-ranking officials, whose performance had been wanting, had been replaced. Finally, all employees had been put on notice that their continued employment would depend on satisfactory job performance.

Reviewing developments in quantitative performance criteria and benchmarks since June 1994 (Appendix III, Table 2) as well as other elements of program implementation, especially on structural reforms and price policy, the authorities felt that they had made important strides in implementing their program (Appendix III, Table 3).

2. Fiscal policy

The authorities agreed that the rehabilitation of the public finances was crucial to the restoration of confidence and credibility, and to lasting progress toward financial viability and steady economic growth. It was therefore their intention to reduce the current primary deficit to about 1 1/2 percent in 1995 (Appendix III, Table 4). 1/ To achieve this objective, and yet restore an adequate level of spending on wages and on goods and services so as to allow the administration to function normally, government revenue (excluding grants) would need to recover from 6 1/3 percent of GDP in 1994 to more than 9 percent of GDP. 2/ This would be about 1 percentage point of GDP above collections in the second half of 1994 at an annual rate. An ad hoc committee on revenue collection, chaired by the Head of State, had been set up to monitor and strengthen revenue performance, notably through the continued strengthening of tax administration and a forceful collection of back taxes.

Moreover, in the context of UDEAC 3/ indirect tax and customs tariff reform, excise taxes and a general turnover tax (TCA) would be introduced, effective January 1, 1995. The TCA would replace the single tax (taxe unique), the domestic production and consumption taxes, the domestic turnover tax, the turnover tax on imports, the transactions tax, and the proportional stamp tax. In recognition of the need to generate additional revenue, the normal rate for the TCA would be set at 15 percent, and the reduced rate at 5 percent. Moreover, expiring bilateral tax preference agreements with private operators (conventions d'établissement) had not been renewed, and the few remaining ones would be renegotiated before end-1995.

1/ No consolidated draft budget was available yet at the time of the mission. The projections for the public finances in Appendix III, Table 4 reflect the understandings reached on the needed fiscal consolidation as part of the staff-monitored program.

2/ The relatively high ratio of revenue to GDP observed in 1993 was due both to an exceptionally low level of GDP and to a nonrecurrent receipt of CFAF 4.7 billion for the renewal of oil exploration rights. Correction for these factors would lower the revenue ratio to about 7 1/2 to 8 percent of GDP in that year.

3/ Union Douanière et Economique de l'Afrique Centrale.

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Particular attention would be given to reinforcing the customs administration. Interference from paramilitary forces in customs operations had been stopped, and all discretionary exemptions from customs duties had been prohibited. In addition, technical assistance had been obtained in two areas: (a) an expert from the Fund's panel of fiscal experts had taken up his duties in October 1994, for an initial period of one year; 1/ and (b) a private specialized company with international experience (COTECNA) had been contracted to improve the collection of customs duties on petroleum products. Together, all revenue measures taken since July 1994 had increased the average monthly tax collection from CFAF 1.6 billion in the first half of the year to CFAF 2.2 billion in the third quarter, and an estimated CFAF 3.4 billion in the last quarter of 1994.

Even with these measures, the scope for a rapid increase in tax receipts would remain narrow, in part because of physical and financing constraints in the revenue departments. However, an average level of monthly revenue of CFAF 3.8 billion appeared to be feasible in 1995. At the same time, uncertainties about external financing availability would continue to loom large. Government spending therefore would remain severely constrained in 1995, and the level of current spending (commitment basis) was targeted to decline to about 12 percent of GDP, from 12.5 percent in 1994, and an average of about 15 percent during the period 1990-93. This reduction would require the establishment of clear spending priorities.

The growth in the Government's wage bill would be strictly limited in 1995. At the same time renewed efforts would be made to achieve regularity of wage and salary payments, with a view to providing appropriate incentives to work and fostering social peace. In this context, the authorities pointed to the Social Pact of July 1, 1994, which includes an understanding that the repayment of salary arrears is to be linked to the availability of budgetary resources. The authorities also indicated that the 10 percent salary increase that had been envisaged for October 1994 would be postponed. Savings from this measure would be used instead to reduce 1994 salary arrears in those ministries that had the "oldest" such arrears. For 1995, the objective would be to keep the wage bill unchanged in real terms, implying an increase in nominal terms of no more than 6 percent. This objective, however, would be compatible with a 10 percent increase in civil service wages and salaries from January 1, 1995. The reason was the continued staffing reduction of approximately 1,000 persons, predicated on

1/ Regarding specific measures and their timetable, the authorities will be guided by the work plan established by the Fund's technical expert. Immediate measures will include the centralization of import taxation at the customs level; the reorganization of customs clearance procedures; the update of indicative import values; the establishment of a system of quotas for diplomatic and project-related imports; and strengthened organizational and training issues.

strict enforcement of retirement rules, elimination of inefficient and ghost employees, and reduction in the number of contractual workers in low priority areas.

Regarding spending on goods and services, all potential savings would be exploited in nonpriority areas. Similarly, transfer payments and subsidies would need to be strictly justified. In particular, subsidies to the power utility (STEE) would be curtailed through continued cost-cutting measures, improvements in collection rates, and appropriate adjustments in prices (see below). Additional efforts would also be made to reduce the need for subsidizing essential pharmaceuticals through an expansion of local production of generic drugs, as well as improvements in procurement and distribution. Further reductions in payments arrears to suppliers would be circumscribed by the constraints on resources and by indispensable current and capital spending--the latter being limited to the domestic counterpart funds for externally financed investment projects.

3. Monetary and credit policies

In 1994, the principal objective of monetary policy pursued by the BEAC at the regional level had been the strengthening of confidence in the new exchange rate and the return of flight capital. Interest rates thus had been raised significantly in the immediate aftermath of the devaluation. From midyear onward, when capital inflows accelerated and it appeared that credit conditions could be relaxed without significant pressures on the balance of payments, interest rates had been progressively reduced. ^{1/} Nevertheless, credit demand in Chad had remained weak and banks' liquidity ample through September (Appendix III, Table 5). In the event of an upturn in private credit and import demand, as confidence and activity firm up, the authorities would act in the framework of the BEAC to raise interest rates as needed to contain the growth of domestic credit within limits compatible with external objectives.

In addition, in an effort to move toward reliance on market forces and the use of indirect instruments of monetary management, the BEAC had introduced a money market in July 1994, which consisted of three segments: an interbank market, an auction mechanism for central bank advances, and a refinancing window for medium-term credits. Given the liquidity of the domestic banking system, none of these mechanisms had been used so far in Chad. Regarding the auction technique, the staff pointed out that the current method that controls both the cost and volume of the amounts auctioned off was working at cross purposes with the intention to rely on

^{1/} The basic discount rate, which had been 11.5 percent before the devaluation, was reduced in steps from 14.0 percent as of January 14, 1994 to 7 3/4 percent, effective December 9. Over the same period, the minimum deposit rate moved from 9 percent to 5.5 percent, and the maximum lending rate from 19 percent to 16 percent, against a rate of 17.5 percent before the devaluation.

market-based instruments, and that adaptations would be necessary once experience had been gained. 1/ Moreover, the system would need to be made symmetrical and thereby empower the BEAC to restrict banks' lending capacity through open market operations if circumstances so required. Finally, the authorities said they would lend their full support to the regional banking commission (COBAC) in its efforts to strengthen supervision and enforce prudential ratios.

4. External sector policies

In the external area, the authorities agreed with the staff on the importance of consolidating the incentive effects of the devaluation. 2/ Accordingly, they decided not to proceed with the introduction of an export tax on cotton that had been envisaged to address the revenue shortfall. 3/ Instead, they would continue to rely on the more flexible profit-sharing mechanism that was an important element of the original program. Moreover, remaining export taxes on agricultural products (there are none on other exports) would be removed in connection with the presentation of the 1995 budget.

The authorities indicated that they did not intend to introduce new exchange or import restrictions. Together with the other BEAC member countries, they would seek the elimination of the requirement to produce certain documentation for the making of current transfers to France, the Comoros, and the BCEAO 4/ countries that had been introduced by administrative order of the Governor of the BEAC in December 1993. They would also advocate lifting the suspension on the repurchase of BEAC bank notes circulating outside its zone of issue. Moreover, they would take whatever steps might still be needed to prepare Chad's acceptance of the obligations of Article VIII, Sections 2, 3, and 4 as soon as possible. In accordance with the UDEAC reform, they also intended to eliminate existing surtaxes on edible oils, sugar, beer, cigarettes, and soap as soon as possible.

The authorities observed that, even with the envisaged adjustment, Chad's external debt-servicing capacity would remain limited in the period immediately ahead without a resumption of external support. Nevertheless,

1/ To that effect, it would also be necessary to reduce the number of administered interest rates, especially those applicable to lending and deposit rates.

2/ The medium-term balance of payments projections assume (i) a gradual move of cotton production and exports to capacity levels as calculated by COTONTCHAD; (ii) a strong expansion of livestock and arabic gum exports; and (iii) a slowing of grain imports, as production of domestic substitutes expands. No allowance has so far been made for the exploitation of identified oil fields and related exports.

3/ In the form envisaged, the tax would have totally eliminated the projected profits of COTONTCHAD, or approximately CFAF 4 billion.

4/ BCEAO, Banque Centrale des Etats de l'Afrique de l'Ouest.

they would try to normalize relations with creditors as the fiscal and external positions improved, seek to service external debt in a timely fashion, and settle nonreschedulable current maturities and arrears as a matter of priority. They would also continue efforts to secure the rescheduling of Chad's debt to Paris Club creditors on appropriate terms.

5. Structural policies

The authorities confirmed their determination to proceed with the demobilization program, so as to reduce the size of the armed forces to 25,000. By end-September 1994, more than 16,000 soldiers had already been demobilized and 1,000 others were to follow before the end of the year. Indeed, the objective of a reduction to a 25,000-strong armed force would have been achieved by end-1994, had a majority in the CST voted for a bill that sought to retire some 6,000 soldiers by reducing the age limit for army personnel to 55 years and setting maximum service at 30 years. In line with the results of the new ongoing army census, a new bill would be submitted to the CST, or other policies developed, to reach the desired objective at the latest by end-June 1995.

The authorities remained committed to price liberalization. After prices for rice and flour had been freed in February 1994, only eight product categories remained subject to price control (gasoline, pharmaceutical products, sugar, water, electricity, cigarettes, soap, and edible oils). In November 1994, the price freeze on pharmaceutical products had been replaced by a limited intervention scheme that maintains controls on only 60 essential products. Moreover, control over the margins of distributors of pharmaceutical products would be abandoned before end-June 1995. Regarding sugar, retail prices had been increased by 21 percent on average in November 1994, obviating the need for subsidies to the sugar company (SONASUT). A detailed study of sugar distribution in Chad would be carried out before end-March 1995, with a view to liberalizing prices and eliminating SONASUT's import monopoly. Price controls on cigarettes were scheduled to be removed by end-December 1994. In the public utilities, electricity tariffs would be increased in two steps of 10 percent each before end-June 1995; however, water rates would remain unchanged for social reasons, and considering that no need for subsidization existed at current rates. In the cash crop sector, the producer price for cotton (including a possible premium) would continue to be set on the basis of world market prices and a prudent evaluation of the current and prospective level of profitability of COTONTCHAD.

Given the poor income situation of wage earners and high rate of inflation, the authorities had come under pressure to adjust wages and salaries. In particular, the unions had demanded a tripling of the guaranteed interprofessional and agricultural minimum wages (SMIG and SMAG), which had not been adjusted in many years. In the event, the Government, after extensive discussions with the trade unions and employers, decided in November 1994 to double the SMIG and SMAG to levels already paid by enterprises for several years. This adjustment was therefore not expected to

materially affect the competitiveness gains that enterprises had realized since the devaluation. In any event, it was the intention of the Government in 1995 to rescind the minimum wage legislation altogether and instead to encourage the social partners to strengthen wage bargaining mechanisms at the sectoral or enterprise level.

The program of public enterprise divestiture had progressed well in 1994, with three state companies privatized (SAPROVET, MCT, and SIMAT) ^{1/} and ten others in the process of liquidation. In keeping with the intention to foster private sector-led growth, this program would be advanced further in 1995, according to a timetable agreed upon with the World Bank. Other measures to stimulate private initiative had consisted of the adoption of statutes for the creation of a Chamber of Commerce; the abolition of prior administrative authorizations for the creation of enterprises; a simplification of business licensing procedures; and the removal of the credit distribution tax on banks. The authorities would continue to review existing legislation and administrative regulations, with a view to removing obstacles to the creation of an open and competitive private sector.

Strengthening health and education would remain the centerpiece of social policy. The number of staff in these sectors had been increased by 90 and 280, respectively, as envisaged in the original program, and recruitment efforts would be financed and buttressed by substantial increases in budgetary appropriations in real terms. High priority would also be given to job creation in the context of public infrastructure programs.

6. Monitoring of economic and structural policies

To follow performance under the staff-monitored program, the authorities have established quantitative benchmarks for end-December 1994, and end-March and end-June 1995, as well as structural benchmarks (Appendix III, Table 7). They hope that satisfactory implementation of the program will help set the stage for discussions on a medium-term program that could be supported under the ESAF.

IV. Staff Appraisal

The devaluation of the CFA franc in January 1994 offered Chad a unique opportunity to break out of the vicious circle of disintegrating public administration and declining private sector activity that had gripped the country in recent years. It also gave the authorities a chance to restore confidence in their economic policies in the context of an arrangement with the Fund.

^{1/} Société d'Approvisionnement en Produits Vétérinaires; Manufacture des Cigarettes du Tchad; Société Industrielle de Matériel Agricole du Tchad.

Performance under the program has been mixed in terms of both policy implementation and economic developments. Adverse external factors, combined with major slippages in program implementation, produced a very disappointing first half of 1994. However, there has been a determined effort since July to strengthen program implementation, and economic performance has improved noticeably.

Commendable as they have been, the efforts nonetheless have proved insufficient to make up the earlier slippages, and a staff-monitored program for the period through end-June 1995 has been designed to allow policies to take hold and give Chad an opportunity to establish a credible record of policy implementation. The staff is encouraged by the authorities' commitment to policy reform, as evidenced by the intention to deepen the structural adjustment effort through additional measures and the establishment of high-level committees to improve program implementation and monitoring. Attention must be given in particular to a further strengthening of public administration; to the generation of sufficient domestic revenue to finance current government spending; and to the consolidation of the competitiveness gains stemming from the devaluation.

A substantial improvement in government revenue performance is crucial to the success of the adjustment effort because it would strengthen confidence in the authorities' determination to keep the budget deficit under control. It is also needed to restore regularity in salary payments, motivate civil servants, and allow the administration to function properly. Finally, a successful effort to mobilize domestic resources is essential to unleash foreign financial support. The revenue objectives set under the staff-monitored program are a minimum, and more ambitious objectives will have to be set once the financing of measures to strengthen the capacity and functioning of revenue departments has been assured in the context of an ESAF-supported program.

To improve revenue performance, action is needed on both tax policy and administration. A significant simplification of the tax system and increase in yields can be expected from the replacement of the current and complex indirect tax structure by a single turnover tax with two rates at levels sufficiently high to generate adequate additional resources. The full and efficient implementation of this measure must be given a high priority, and care has to be taken to avoid unwarranted exemptions or classifications in the reduced rate category. Similar considerations should be applied to the introduction of excise taxes and their rates. Every effort should also be made to collect back taxes, where appropriate in connection with repayments of government payments arrears.

Customs operations require special attention. Priority needs to be given to improved coordination between the customs, tax, and treasury departments; the early adoption of a single taxpayer identification number; and reorganization of customs clearance procedures to achieve standardization in treatment and transparency in operations. Moreover, import value assessments have to be improved to ensure that duties reflect true values

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more closely. Determined efforts also have to be made to control fraud and monitor the justification for exemptions. In this regard, the initiative of the authorities to agree on duty-free import quotas with embassies, nongovernment agencies, and providers of project financing needs to be implemented swiftly.

Financial constraints demand that public expenditure priorities be clearly established. While the return to regular wage and salary payments is essential, the tight revenue situation appears to leave no scope for a repayment of salary arrears in 1995. Moreover, the wage bill should not be allowed to rise in real terms, and thus any increase in wage rates will need to be absorbed by payroll reductions in nonpriority areas. The achievement of the demobilization objective for the army remains a key element of medium-term fiscal consolidation. A renewed effort should therefore be made to pass early retirement legislation for the army, or implement alternative solutions. Similarly, spending on goods and services must be shifted toward primary education and health, as well as strengthening the means of the financial administration. The decision to increase electricity prices is a step in the right direction to lessen the need for transfers and subsidies, and similar initiatives should be considered for other utility charges.

In the monetary policy area, the staff is encouraged by the authorities' intention to support the broadening of current money market arrangements to include mechanisms for liquidity absorption and advocate a further liberalization of interest rates. Greater reliance on market mechanisms should help in improving credit allocation and in keeping credit growth consistent with Chad's and the BEAC region's external objectives.

The decision to rescind the minimum wage legislation would represent a significant structural increase in labor market flexibility and should be implemented as planned. The authorities have made great progress in liberalizing prices, and the staff would want to encourage them to eliminate remaining price controls--other than for state monopolies--as soon as practicable. The reform program for the state enterprises is well on its way and should be pursued further, in line with the agenda agreed with the World Bank, with emphasis on privatization. Together, these measures should give the appropriate signals to the private sector and encourage the resumption of investment.

Given the absence of restrictions on payments and transfers for current international transactions and the authorities' commitment to maintain a liberal exchange system, the staff urges Chad to accept at an early date the obligations of Article VIII, Sections 2, 3, and 4. It also recommends that the authorities further bolster confidence in the CFA franc, working at the level of the BEAC to restore the repurchase of notes exported outside the zone of issue.

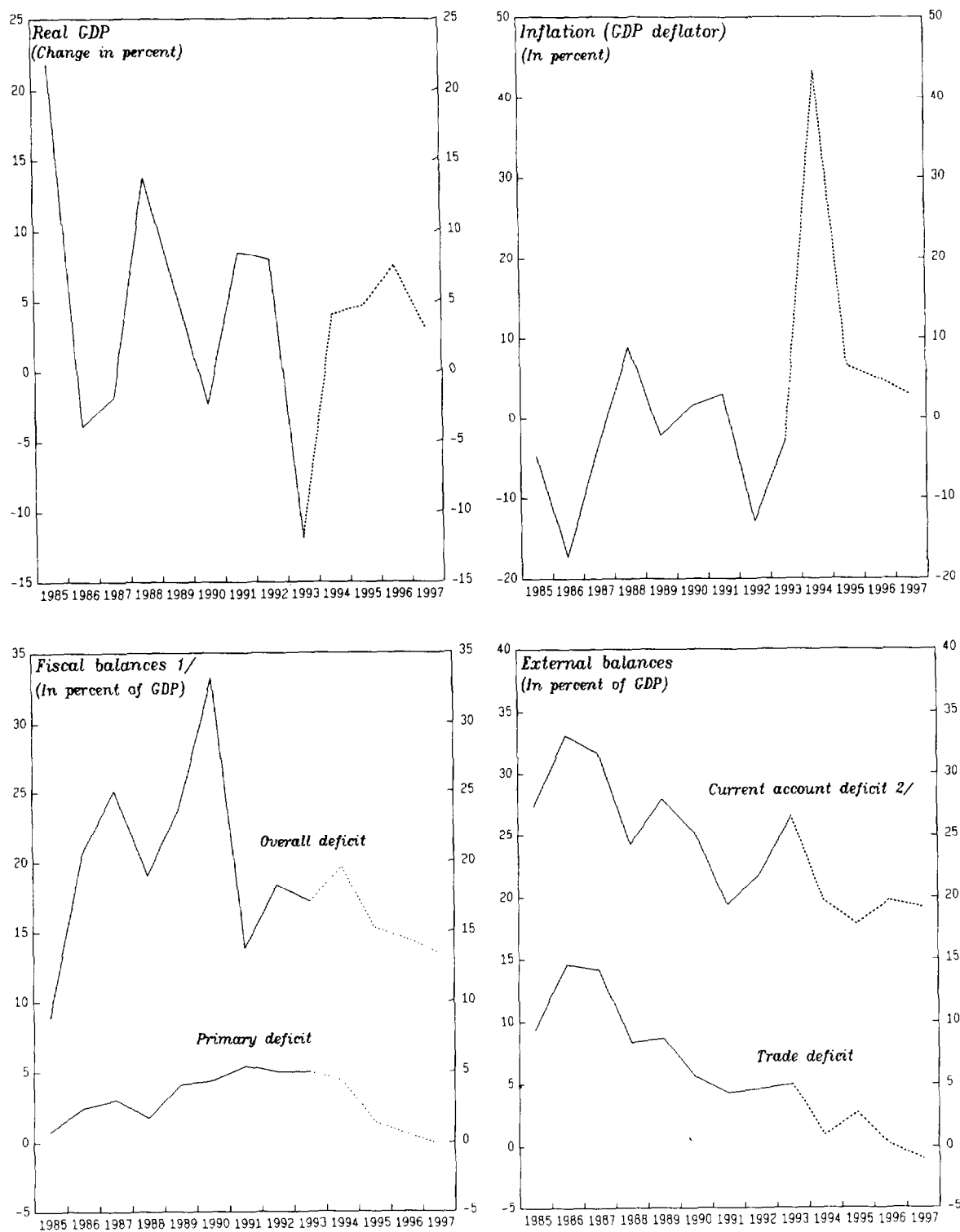
- 14 -

As requested by the authorities, the staff will closely monitor performance under the staff-monitored program for 1994/95. The staff believes that continued satisfactory progress under this program would offer a solid basis for the start of discussions on a medium-term program that could be supported by an ESAF arrangement.

It is recommended that the next Article IV consultation with Chad be held on the standard 12-month cycle.

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CHART 1 CHAD PRINCIPAL ECONOMIC INDICATORS, 1985-97



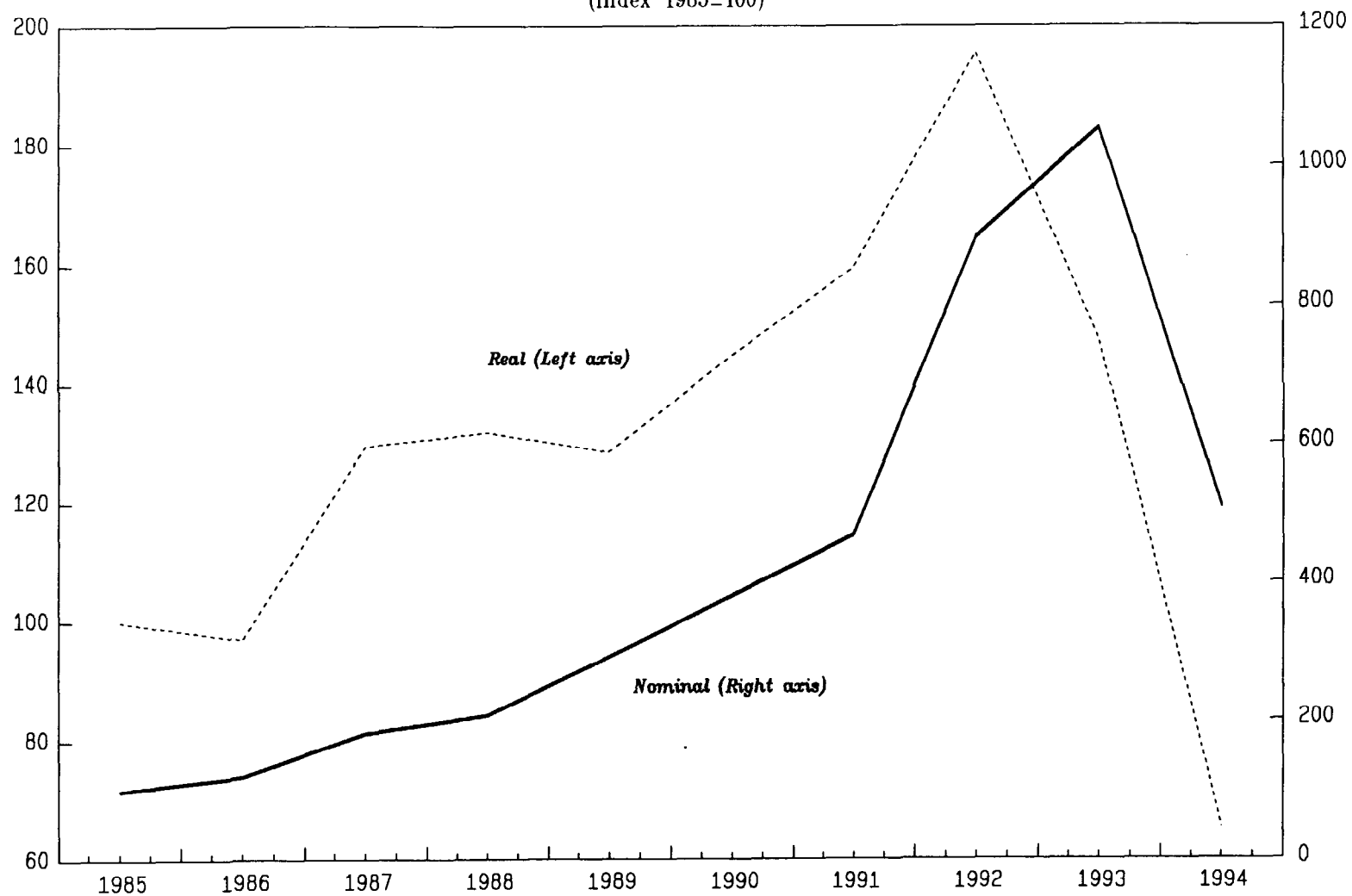
Sources: Data provided by the Chadian authorities; and staff estimates and projections.

1/ On a commitment basis, excluding grants.

2/ Excluding official transfers.

CHART 2

CHAD
NOMINAL AND REAL EFFECTIVE EXCHANGE RATES, 1985-94 1/
(Index 1985=100)



Sources: IMF, International Financial Statistics, Information Notice System; and staff estimates and calculations.

1/ Information Notice System (including Nigeria with a weight moving from 10 percent in 1985 to 25 percent in 1993, and reduced to 10 percent in 1994).

Chad - Relations with the Fund
(As of December 31, 1994)

I. Membership Status: Joined October 7, 1963; Article XIV

II. <u>General Resources Account:</u>	<u>SDR million</u>	<u>Percent of quota</u>
Quota	41.30	100.0
Fund holdings of currency	51.35	124.3
Reserve position in the Fund	0.28	0.7

III. <u>SDR Department:</u>	<u>SDR million</u>	<u>Percent of allocation</u>
Net cumulative allocation	9.41	100.0
Holdings	0.02	0.2

IV. <u>Outstanding Purchases and Loans:</u>	<u>SDR million</u>	<u>Percent of quota</u>
Stand-by arrangements	10.33	25.0
SAF arrangements	18.97	45.9

V. Financial Arrangements:

<u>Type</u>	<u>Approval Date</u>	<u>Expira- tion</u>	<u>Amount Approved (SDR million)</u>	<u>Drawn (SDR million)</u>
Stand-by	3/23/94	3/22/95	16.52	10.33
SAF	10/30/87	10/29/90	21.42	21.42

VI. Projected Obligations to the Fund:

(SDR million; based on existing use of
resources and present holdings of SDRs)

	<u>Overdue 12/31/94</u>	<u>Forthcoming</u>				
		<u>1994</u>	<u>1995</u>	<u>1996</u>	<u>1997</u>	<u>1998</u>
Principal	0.9 <u>1/</u>	0.9	3.7	4.3	8.2	8.2
Charges/interest	0.9 <u>1/</u>	0.1	1.1	1.1	1.0	0.8
Total	<u>0.1</u>	<u>1.0</u>	<u>4.8</u>	<u>5.4</u>	<u>9.2</u>	<u>9.0</u>

1/ Overdue payments were accumulated at end-December and in early January 1995, but they were settled swiftly thereafter.

Chad - Relations with the Fund (concluded)

VII. Exchange Rate Arrangement

Chad is a member of the Central Bank of the Central African States (BEAC). The exchange system, common to all members of the BEAC, has been free of restrictions on payments and transfers for current international transactions. Repurchase of the CFA franc bank notes exported outside the BEAC was suspended on August 2, 1993. The BEAC common currency is the CFA franc, which is pegged to the French franc. Effective January 12, 1994, the CFA franc was devalued by 50 percent in foreign currency terms, and the exchange rate was adjusted from F 1 = CFAF 50 to F 1 = CFAF 100. On December 30, 1994, the rate of the CFA franc, in terms of SDR, was CFAF 780.44 = SDR 1.

VIII. Article IV Consultations

(a) Chad is on the standard 12-month consultation cycle.

(b) Discussions for the 1993 Article IV consultation were held in N'Djaména during the period May 25-June 7, 1993. The staff report (SM/93/180) was discussed by the Executive Board on October 6, 1993 (EBM/93/141).

IX. Technical Assistance

1988: FAD mission on the preparation of a tax reform program.
1989: FAD mission on the preparation of a tax reform program.
1990: FAD mission for reviewing implementation of the tax reform program.
1991: FAD mission for reviewing implementation of the tax reform program.

1994: FAD mission for assessing weaknesses in customs administration and recruitment of an expert responsible for strengthening customs administration.

X. Resident Representative

None.

Chad - Relations with the World Bank Group

At the beginning of the Bank's support of structural adjustment in Chad, a Financial Rehabilitation Credit (FRC) was approved in July 1988. The objectives of the program were to re-establish the financial profitability of the cotton sector and to strengthen policy reforms in public finances. However, owing to the deteriorating fiscal performance, the FRC was suspended in July 1991. The residual balance was canceled in December 1992 and the credit was closed.

The Bank's strategy for Chad supports investments in the productive sectors (agriculture, livestock, and energy) as well as transport infrastructure. In 1994, particular emphasis has been given to the support of the devaluation with a US\$20 million Economic Recovery Credit (ERC) and the development of human resources and the strengthening of economic management (GEF).

A. Statement of IDA Credits
(As of December 31, 1994)

(In millions of U.S. dollars)

<u>Credit No.</u>	<u>Fiscal Year</u>	<u>Purpose</u>	<u>IDA 1/</u>	<u>Undisbursed</u>
4 credits have been canceled <u>2/</u>				
22 credits have been fully disbursed			178.82	
Cr.1872	1988	Economic and Financial Management	12.8	7.35
Cr.1912	1988	Livestock	18.6	6.36
Cr.1950	1989	Education Rehabilitation	21.8	0.88
Cr.2501	1993	Basic Education	19.3	19.81
Cr.2520	1993	Transport Sector II	37.0	34.01

1/ Credits No. 1775-CD and higher are denominated in SDRs and are shown in U.S. dollar equivalents, based on exchange rates in effect at the time of approval of the credits, except for undisbursed amounts for which the current exchange rate is applied.

2/ The Second Livestock (US\$11.5 million) and Third Highway (US\$7.6 million) projects were canceled before becoming effective on October 15, 1980. The residual of the Financial Rehabilitation Credit (Cr.A037) and the Financial Rehabilitation Program (Cr.1945) was canceled in December 1992.

Chad - Relations with the World Bank Group (concluded)

<u>Credit No.</u>	<u>Fiscal Year</u>	<u>Purpose</u>	<u>IDA 1/</u>	<u>Undisbursed</u>
Cr.2007	1989	Transport Sector Adjust- ment	60.0	1.72
Cr.2156	1990	Social Development Program	13.4	4.55
Cr.2184	1991	Petroleum Engineering	11.0	5.83
Cr.2589	1994	Economic Recovery	20.0	0.13
Cr.2624	1994	Public Works	17.4	17.4
Cr.2626	1994	Health and Safe Motherhood	18.5	18.5
Total number of credits = 11			<u>193.9</u>	<u>116.54</u>
Total credit held from the Bank and IDA			<u>372.71</u>	
Of which: repaid			<u>12.75</u>	
Total now held by the Bank and IDA			<u>359.96</u>	

B. Statement of IFC Investments

Chad is not a member of IFC.

C. Activities Under Preparation

In 1995, the World Bank will continue and expand its technical assistance program (Economic and Financial Management Project-GEF). Preparations are also under way for the eventual negotiation of a structural adjustment credit (SAC) that would accompany an ESAF-supported program of the Fund. Relevant Bank-related issues for the related policy framework paper and policy matrix are being examined). Moreover, a public expenditure review is to be concluded by mid-1995. Finally, support to the Chad/Cameroon Petroleum Pipeline Project is under consideration.

Table 1. Chad: Selected Economic and Financial Indicators, 1992-97

	1992	1993	1994	1995	1996	1997
			Prog.	Rev. prog.	Projections	
(Annual percentage change, unless otherwise specified)						
National income and prices						
GDP at current prices	1.0	-14.4	33.6	49.0	11.5	7.2
GDP at constant prices	8.0	-11.9	1.4	4.0	4.7	5.1
GDP deflator	-6.5	-2.8	31.8	43.3	6.5	2.0
Consumer prices	-3.8	-7.0	43.3	41.3	5.6	2.0
Central government finance ^{1/}						
Revenue	-2.5	-7.2	40.6	-3.3	61.3	14.9
Total expenditure	19.8	-15.9	59.6	42.8	5.4	20.8
Of which : current expenditure	(-3.7)	(-7.0)	(16.3)	(13.8)	(6.6)	(8.6)
Money and credit (end of period)						
Net foreign assets ^{2/}	-11.3	-24.3	-2.8	91.7	11.1	11.2
Domestic credit ^{2/}	14.9	11.5	29.0	14.7	-1.4	-4.4
Credit to Government (net) ^{3/}	32.6	21.2	14.2	9.8	-3.2	-8.5
Private sector	-17.7	-9.6	14.8	4.8	1.8	9.5
Money and quasi-money	-9.9	-21.6	26.2	95.2	9.7	9.0
Income velocity of money (M2) ^{4/}	5.8	6.3	6.1	4.8	4.9	4.9
External sector						
Exports, f.o.b. (in US\$)	-4.6	-17.6	9.3	-0.2	43.8	21.5
Imports, f.o.b. (in US\$)	0.9	-16.6	-6.7	-21.6	53.5	16.5
Export volume	-2.8	-4.4	5.3	-5.5	39.3	21.9
Import volume	-7.0	-10.5	-6.0	-25.9	40.0	25.4
Terms of trade	-6.4	-8.9	0.7	-0.2	-1.9	-1.9
Real effective exchange rate	-1.0	-16.6	-33.0	-29.4	7.2	-0.3
(In percent of GDP)						
Central government finance ^{1/}						
Revenue	9.0	9.7	9.5	6.3	9.1	9.8
Total expenditure	27.4	26.9	28.5	25.8	24.4	24.1
Current deficit (-) ^{5/}	-6.1	-6.6	-5.1	-6.2	-2.8	-2.4
Current primary deficit	-5.0	-5.0	-3.5	-4.4	-1.4	-0.5
Overall deficit (-) ^{5/}						
(commitment basis)	-18.4	-17.2	-18.9	-19.5	-15.3	-14.3
(cash basis)	-15.1	-13.1	-23.8	-19.2	-18.3	-16.3
Domestic financing (net)	5.5	2.2	-0.8	-1.5	-0.8	-1.1
External financing (net)	9.7	10.9	24.6	20.8	19.1	17.4
External current account deficit						
Including official transfers	-8.8	-11.7	-12.0	-8.3	-7.6	-10.1
Excluding official transfers	-21.9	-26.5	-29.5	-19.9	-18.1	-20.8
External debt outstanding ^{6/}	55.1	69.7	94.1	95.3	76.1	73.7
Debt service ratio ^{7/}						
Excluding the Fund	12.3	19.3	13.5	14.1	32.6	9.9
Including the Fund	12.5	20.5	15.3	15.9	35.3	12.4
Gross fixed investment	8.4	10.6	14.9	14.4	13.9	14.2
Gross domestic savings	-11.1	-11.4	-9.8	-3.5	-3.2	-5.3
Gross national savings	-0.4	-1.1	2.9	6.1	6.3	4.1
Net official reserves						
(in billions of CFA francs)	13.4	8.5	8.6	45.8	56.1	61.5
(in months of imports c.i.f.)	1.3	0.8	0.5	3.1	2.9	2.6
GDP at current market prices						
(in billions of CFA francs)	350.8	300.2	453.0	447.4	498.8	547.2
						586.6

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

^{1/} Consolidated operations of the Treasury, the CAA, and the public investment program.

^{2/} Changes as percent of broad money stock at beginning of period.

^{3/} Defined as the Treasury and the CAA.

^{4/} GDP/money M2.

^{5/} Excluding grants.

^{6/} Including arrears.

^{7/} Scheduled debt service in percent of exports of goods and nonfactor services.

Table 2. Chad: Performance Criteria and Benchmarks
Under the Stand-By Arrangement

(In billions of CFA francs) 1/

	1993	Cumulative changes from December 31, 1994						
	End-Dec.	End-March		End-June		End-September		End-Dec.
		Prog.	Outcome	Prog.	Outcome	Prog.	Outcome	Prog.
A. Quantitative performance criteria								
Net domestic assets of the banking system 2/	49.65	19.98	9.49	19.31	0.12	19.76	-10.29	18.66
Net bank credit to the Government 2/	44.07	8.09	2.10	8.26	4.42	9.10	-1.49	8.28
Domestic payments arrears 3/	35.90	-1.96	0.82	-6.96	3.92	-10.96	2.88	-12.50
External payments arrears 3/	32.10	--	2.64	--	3.52	-16.60	6.50	-32.10
Of which: in cash	(13.20)	(--)	(--)	(--)	(--)	(-2.20)	(--)	(-13.20)
External loans contracted or guaranteed by the Government on nonconcessional terms:								
- less than 1 year's maturity 4/	--	--	--	--	--	--	--	--
- 1 to 15 years' maturity	--	--	--	--	--	--	--	--
B. Quantitative benchmarks								
Government wage bill 5/	22.70	6.45	1.97	12.63	4.86	18.82	10.37	25.00
Tax revenue 6/	24.55	6.70	4.38	16.70	9.55	26.00	19.20	37.19
Of which: from petroleum products	(2.63)	(1.00)	(0.20)	(2.12)	(0.59)	(3.54)	(1.38)	(4.72)
C. Structural benchmarks								
1. Collection of tax arrears from the 20 largest firms							December 31, 1994	
2. Reduction and consolidation of ministries' accounts with the banking system							December 31, 1994	

1/ Stock data at end-December (adjusted) and flow data thereafter are calculated at the new exchange rate of F 1 = CFAF 100.

2/ Including counterparts of Fund purchases. Most of the differences between the performance criteria (or benchmarks) and the outcome is explained by lags between the depositing of external financial assistance into government accounts and its use for earmarked government spending.

3/ Reduction in the stock identified at end-1993, valued at the new exchange rate. No new accumulation of arrears will be permitted, except on debt service that is expected to be rescheduled. The reduction in the level of domestic payments arrears may be affected by the availability of external financing.

4/ Excluding normal import-related credits, on disbursement basis.

5/ Outcome measured on cash basis; end-September value on commitment basis is CFAF 17.00 billion.

6/ Including the former Caisse Autonome d'Amortissement.

Table 3. Chad: Policy Measures and Implementation Under the Stand-By Arrangement

Measures	Implementation	References and date
A. <u>Prior actions</u>		
1. Full administrative integration of the Caisse Autonome d'Amortissement (CAA) into the Ministry of Finance.	Done.	Law No. 007/93 of February 7, 1994.
2. Approval by the Council of Ministers, and presentation to the Transitional National Assembly of the 1994 Budget consistent with the program and including all operations of the CAA.	Done.	March 1994.
3. Increase in the producer price of cotton from CFAF 80 per kilo (of first choice cotton) to CFAF 90 for the current season, and CFA 120 for the 1994/95 season.	Done.	Order No. 31/MET/DG/94 of February 5, 1994.
B. <u>Quantitative benchmarks (end-June 1994)</u>		
1. Regular payment of the government wage bill as budgeted.	Not achieved.	See table on performance criteria.
2. Minimum collection of tax revenues including as a subtarget customs duties on petroleum products.	Not achieved.	See table on performance criteria.
C. <u>Structural benchmarks</u>		
1. Collection of tax arrears from the 20 largest firms (December 31, 1994).	Almost completed.	
2. Reduction and consolidation of ministries' accounts with the banking system (December 31, 1994)	Done.	
3. Implementation of the rules for retirement of civil servants.	Done.	Order No. 161/PR/MFPT/DG/DFP/SG3/13 of March 22, 1994.
D. <u>Price policies</u>		
1. Petroleum products		
• Premium gasoline - increase from CFAF 290 per liter to CFAF 390 per liter.	Done.	Immediately.
• Gas-oil - increase from CFAF 270 per liter to CFAF 325 per liter.	Done.	Immediately.
• Kerosene - increase from CFAF 245 per liter to CFAF 342 per liter.	Done.	Immediately.
2. Electricity - increase in average rates by 20 percent.	Done.	April 1, 1994.
3. Water - keep price unchanged.	Done.	Immediately.
4. Sugar - increase price by 10 percent.	Done.	July 1, 1994.

Table 3 (concluded). Chad: Policy Measures and Implementation Under the Stand-By Arrangement

Measures	Implementation	References and date
5. Pharmaceutical products - establish a list of 60 essential products for which price freeze will continue to apply, lift price control for all others.	Done.	September 1994.
6. Rice - removal of price controls	Done.	February 1994.
7. Flour - removal of price controls.	Done.	February 1994.
8. Cotton - increase in producer price as explained under A.3. above.	Done.	March 1994.
<u>E. Other undertakings</u>		
1. Completion of the first phase of the demobilization program of the army.	Not fully achieved.	Decision on further demobilization pending in High Transition Council.
2. Removal of paramilitary forces from Customs.	Done.	July-August 1994.
3. Abolishment of discretionary exemptions from customs duties.	Done.	Note No. 40/DDDI/94 of March 31, 1994 by the customs director.
4. Limit increase in wage and salary bill of government to 10 percent; maintain wage and salary rates unchanged from the levels of 1992 budget.	Done.	1994 Budget law.
5. Increase in budgetary allowance for basic health to CFAF 1.5 billion and primary education to CFAF 1.2 billion; road maintenance to CFAF 1.8 billion.	Done.	1994 Budget law.
6. Recruitment of additional staff (280 teachers) and health (90 staff).	Done.	December 1994.

Table 4. Chad: Central Government Operations, 1992-97 ^{1/}

	1992	1993	1994		1995	1996	1997
			Frog.	Rev. prog.		Projections	
(In billions of CFA francs)							
Total revenue and grants	55.01	50.36	78.39	63.40	81.89	91.24	100.27
Total revenue	31.42	29.15	43.17	28.18	45.47	53.62	61.65
Tax revenue	22.02	18.73	37.19	25.35	37.58	45.16	51.80
Income tax	8.68	6.86	9.23	9.11	11.45	13.82	17.03
Tax on goods and services	7.56	6.77	13.99	9.93	14.86	17.54	18.80
Of which: petroleum taxes	(2.52)	(2.21)	(4.72)	(2.48)	(6.29)	(7.59)	(8.14)
Tax on international trade	4.92	3.96	8.65	5.93	10.05	12.34	14.16
Other taxes	0.87	1.14	5.32	0.58	1.21	1.47	1.81
CAA's revenue	3.50	3.87	--	--	--	--	--
Of which: petroleum taxes	(0.10)	(0.33)	--	--	--	--	--
Nontax revenue	5.90	6.54	5.98	2.63	7.89	8.46	9.85
Grants	23.59	21.22	35.22	35.22	36.42	37.62	38.82
Of which: projects	(15.50)	(15.38)	(35.22)	(35.22)	(36.42)	(37.62)	(38.82)
Total expenditure	96.03	80.79	128.99	115.42	121.59	131.72	140.52
Current expenditure	52.64	48.95	66.29	55.72	59.39	67.02	72.82
Wages and salaries	20.27	19.72	25.00	25.00	26.50	27.56	28.67
Materials and supplies	9.77	8.78	11.89	8.58	11.90	14.26	16.87
Interest on domestic debt	0.50	0.60	0.86	1.13	1.50	1.50	1.50
Interest on external debt	3.12	4.24	6.50	6.50	5.50	9.19	10.66
Transfers	3.61	2.35	8.56	3.90	4.50	4.73	4.96
Others ^{2/}	3.91	--	--	0.56	--	--	--
Defense ^{3/}	11.47	13.27	13.48	10.04	9.48	9.78	10.17
Current primary balance	5.98	6.25	19.46	15.32	29.50	34.92	39.81
Excluding grants	-17.60	-14.97	-15.76	-19.90	-6.92	-2.70	0.99
Current deficit (commitment basis)	2.36	1.41	12.10	7.68	22.50	24.23	27.65
Excluding grants	-21.22	-19.80	-23.12	-27.54	-13.92	-13.39	-11.17
Investment expenditure	27.62	29.63	62.70	59.70	62.20	64.70	67.70
Domestically financed	0.92	1.30	4.00	1.00	1.50	2.00	3.00
Foreign financed	26.70	28.33	58.70	58.70	60.70	62.70	64.70
Restructuring of banking system	15.76	2.20	--	--	--	--	--
Overall deficit (commitment basis)	-41.02	-30.42	-50.60	-52.02	-39.70	-40.47	-40.05
Excluding grants	-64.61	-51.64	-85.82	-87.24	-76.12	-78.09	-78.87
Change in payments arrears	11.08	12.26	-22.33	1.16	-15.11	-11.00	-14.00
External (interest)	1.75	2.85	-9.87	2.13	-12.01	--	--
Domestic	9.33	9.40	-12.46	-0.97	-3.10	-11.00	-14.00
Overall deficit (cash basis)	-29.94	-18.17	-72.93	-50.86	-54.81	-51.47	-54.05
Excluding grants	-53.52	-39.38	-108.15	-86.08	-91.23	-89.09	-92.87
Financing	29.94	18.17	-10.05	11.70	-47.01	9.85	19.26
External (net)	10.61	11.45	-6.59	18.51	-43.03	15.97	19.26
Loans	11.88	12.95	23.48	23.48	24.28	25.08	25.88
Amortization due	-3.79	-6.59	-7.85	-7.85	-42.21	-9.11	-6.62
Change in external arrears (principal)	2.51	5.10	-22.22	2.88	-25.09	--	--
Debt relief/rescheduling	--	--	4.19	4.19	36.49	--	--
Domestic (net)	19.33	6.71	-3.47	-6.81	-3.98	-6.13	--
Banking system	17.65	3.82	-3.17	-5.96	-3.06	-6.13	--
Central Bank	17.03	2.50	-2.50	-2.67	-2.85	-6.13	--
Commercial banks	0.62	1.32	-0.67	-3.29	-0.21	--	--
Nonbank sector	1.68	2.89	-0.30	-0.85	-0.92	--	--
Financial gap	--	--	82.98	39.16	101.82	41.63	34.79
Exceptional financing	...	...	63.17	39.16	36.49	--	--
IMF	...	...	11.44	8.27	--	--	--
World Bank	...	...	17.85	11.13	--	--	--
EU	...	...	9.90	6.31	--	--	--
Bilateral donors	...	...	19.78	9.25	--	--	--
Debt cancellation	...	...	4.19	4.19	36.49	--	--
Residual gap	...	...	19.81	--	65.33	41.63	34.79
Memorandum items: (In percent of GDP)							
Revenue	9.0	9.7	9.5	6.3	9.1	9.8	10.5
Grants	6.7	7.1	7.8	7.9	7.3	6.9	6.6
Current expenditure	15.0	16.3	14.6	12.5	11.9	12.2	12.4
Total expenditure	27.4	26.9	28.5	25.8	24.4	24.1	24.0
Government balance ^{4/}							
Current primary balance	-5.0	-5.0	-3.5	-4.4	-1.4	-0.5	0.2
Current deficit	-6.1	-6.6	-5.1	-6.2	-2.8	-2.4	-1.9
Overall deficit	-18.4	-17.2	-18.9	-19.5	-15.3	-14.3	-13.4
including grants	-11.7	-10.1	-11.2	-11.6	-8.0	-7.4	-6.8
Petroleum tax revenue (in millions of CFA francs)	2.6	2.5	4.7	2.5	6.3	7.6	8.1
Nominal GDP (in billions of CFA francs)	350.8	300.2	453.0	447.4	498.8	547.2	586.6

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

^{1/} Defined as the Treasury and the CAA.

^{2/} Mainly extrabudgetary security-related outlays.

^{3/} Included salaries, materials, and supplies, and demobilization outlays.

^{4/} On a commitment basis, excluding grants.

Table 5. Chad: Monetary Survey, 1992-97

	1992 Dec.	1993 Dec. Adj. 1/	1994 Mar.	1994 June	1994 Sept.	1994 December Prog.	1994 Rev. prog.	1995 Mar.	1995 June	1995 Revised program	1995 December Projections	1996 December Projections	1997
(In millions of CFA francs)													
Net foreign assets	13,218	-1,574	13,965	35,714	42,332	1,284	42,121	41,417	51,675	52,440	60,609	73,064	
Central Bank	13,392	8,546	18,826	40,790	46,019	8,593	45,808	45,104	55,362	56,127	61,493	71,145	
Commercial banks	2,629	-4,514	745	530	1,919	-1,942	1,919	1,919	1,919	1,919	1,919	1,919	
Postal debt	-2,803	-5,606	-5,606	-5,606	-5,606	-5,368	-5,606	-5,606	-5,606	-5,606	-2,803	--	
Medium- and long-term foreign liabilities	-1,059	-412	-582	-2,129	-129	-418	-129	-129	-129	-129	-129	-129	
Net domestic assets	48,646	49,649	59,144	49,769	39,363	72,919	51,058	62,082	47,977	49,762	50,747	45,812	
Domestic credit	65,135	72,151	83,185	75,691	67,440	90,085	79,135	90,159	76,054	77,839	78,824	73,889	
Claims on the Govern- ment (net)	31,205	44,071	46,175	48,494	42,583	51,277	48,754	48,634	47,450	45,785	37,090	34,287	
Treasury and CAA (net)	30,245	43,980	43,473	45,766	40,155	49,534	46,326	46,206	45,022	43,357	37,232	37,232	
Central Bank	31,075	41,422	44,130	46,403	41,265	49,712	47,057	47,057	45,873	44,208	38,083	38,083	
Commercial banks	-830	2,558	-657	-637	-1,110	-179	-731	-851	-851	-851	-851	-851	
Others	960	91	2,702	2,728	2,428	1,744	2,428	2,428	2,428	2,428	-142	-2,945	
Credit to the private sector	33,930	28,080	37,010	27,197	24,857	38,807	30,381	41,525	28,604	32,054	41,734	39,602	
Other items (net)	-16,489	-22,502	-24,041	-25,922	-28,077	-17,166	-28,077	-28,077	-28,077	-28,077	-28,077	-28,077	
Of which: revaluation	(--)	(-9,825)	(-9,825)	(-9,825)	(-9,825)	(-11,603)	(-9,825)	(-9,825)	(-9,825)	(-9,825)	(-9,825)	(-9,825)	
Money and quasi-money	60,805	47,663	72,527	83,354	81,566	73,785	93,050	103,370	99,523	102,073	111,227	118,747	
Currency outside banks	47,128	35,838	53,829	58,251	56,759	57,552	64,750	71,932	69,254	71,029	77,859	83,123	
Demand deposits	10,116	9,622	15,540	21,476	20,814	12,233	23,206	25,779	24,820	25,456	26,127	27,183	
Time and savings deposits	3,561	2,203	3,158	3,627	3,993	4,000	5,094	5,659	5,449	5,588	7,241	8,441	
(Annual changes in percent of broad money at the beginning of period)													
Net foreign assets	-11.4	-24.3	32.6	78.2	92.1	-2.8	91.7	-0.8	10.3	11.1	8.0	11.2	
Central Bank	-10.9	-8.0	21.6	67.6	78.6	-0.7	78.2	-0.8	10.3	11.1	5.3	8.7	
Commercial banks	-0.5	-11.7	11.0	10.6	13.5	-2.1	13.5	--	--	--	--	--	
Postal debt	--	-4.6	--	--	--	--	--	--	--	--	2.7	2.5	
Medium- and long-term financial liabilities	-0.7	1.1	-0.4	-3.6	0.6	--	0.6	--	--	--	--	--	
Net domestic assets	2.2	1.6	19.9	0.3	-21.6	29.0	3.0	11.8	-3.3	-1.4	1.0	-4.4	
Domestic credit	15.1	11.5	23.2	7.4	-9.9	29.0	14.7	11.8	-3.3	-1.4	1.0	-4.4	
Claims on the Government (net)	32.7	21.2	4.4	9.3	-3.1	14.2	9.8	-0.1	-1.4	-3.2	-8.5	-2.5	
Treasury and CAA (net)	23.3	22.6	-1.1	3.7	-8.0	14.2	4.9	-0.1	-1.4	-3.2	-6.0	--	
Central Bank	24.8	17.0	5.7	10.5	-0.3	15.3	11.8	--	-1.3	-3.1	-6.0	--	
Commercial banks	-1.5	5.6	-6.7	-6.7	-7.7	-1.2	-6.9	-0.1	-0.1	-0.1	--	--	
Others	9.5	-1.4	5.5	5.5	4.9	--	4.9	--	--	--	-2.5	-2.5	
Credit to the private sector	-17.7	-9.6	18.7	-1.9	-6.8	14.8	4.8	12.0	-1.9	1.8	9.5	-1.9	
Other items (net)	-12.9	-9.9	-3.2	-7.2	-11.7	--	-11.7	--	--	--	--	--	
Money and quasi-money	-9.9	-21.6	52.2	74.9	71.1	26.2	95.2	11.1	7.0	9.7	9.0	6.8	
Currency outside banks	-3.7	-18.6	37.7	47.0	43.9	22.6	60.7	7.7	4.8	6.7	6.7	4.7	
Demand deposits	-7.6	-0.8	12.4	24.9	23.5	0.7	28.5	2.8	1.7	2.4	0.7	0.9	
Time and savings deposits	1.4	-2.2	2.0	3.0	3.8	2.9	6.1	0.6	0.4	0.5	1.6	1.1	
Velocity (GDP/Broad money)	5.8	6.3	6.2	5.4	5.5	6.1	4.8	4.8	5.0	4.9	4.9	4.9	
Nominal GDP (in billions of CFAF)	350.8	300.2	447.4	447.4	447.4	453.0	447.4	498.8	498.8	498.8	547.2	586.6	

Sources: Data provided by the BEAC; and staff estimates and projections.

1/ Adjusted for effects of the January 12, 1994 devaluation of the CFA franc.

Table 6. Chad: Balance of Payments, 1992-2000

	1992	1993 Est.	1994 Prog.	1994 Rev. prog.	1995	1996	1997	1998	1999	2000
							Projections			
(In billions of CFA francs)										
Exports, f.o.b.	48.2	43.0	84.7	83.4	114.8	140.4	172.7	202.6	238.5	269.1
Of which: cotton	(25.3)	(16.2)	(25.6)	(29.0)	(42.2)	(48.6)	(60.7)	(66.3)	(75.5)	(83.1)
Imports, f.o.b.	-64.3	-58.1	-110.3	-88.5	-130.0	-152.5	-168.6	-182.1	-209.5	-237.1
Trade balance (deficit -)	-16.1	-15.1	-25.6	-5.1	-15.2	-12.1	4.1	20.4	29.0	32.1
Services (net)	-51.5	-54.5	-98.9	-79.5	-73.5	-102.0	-110.7	-113.2	-122.9	-127.1
Nonfactor services (net)	-52.3	-51.2	-86.3	-75.0	-70.0	-94.8	-102.1	-104.7	-114.7	-119.1
Factor services (net)	0.7	-3.3	-12.6	-4.5	-3.5	-7.2	-8.7	-8.5	-8.2	-8.1
Of which: public interest payments	(-3.1)	(-3.7)	(-6.5)	(-6.5)	(-5.5)	(-9.2)	(-10.7)	(-10.5)	(-10.2)	(-10.1)
Transfers	36.9	34.4	70.2	47.4	50.6	60.4	60.8	76.0	76.3	76.1
Private (net)	-9.1	-10.0	-9.1	-4.4	-1.4	0.5	2.3	2.4	2.6	2.1
Official (net)	46.0	44.4	79.3	51.8	52.1	59.9	58.5	73.6	73.7	73.1
Current account (deficit -)	-30.8	-35.2	-54.4	-37.2	-38.0	-53.6	-45.8	-16.7	-17.6	-18.1
Excluding official transfers	-76.8	-79.6	-133.7	-89.0	-90.1	-113.5	-104.3	-90.3	-91.3	-92.1
Nonmonetary capital	9.1	14.7	14.3	42.5	-16.6	17.3	20.6	17.2	19.2	21.1
Direct investment (net)	0.8	6.1	3.5	11.7	6.2	6.2	6.2	6.2	6.2	6.1
Long-term (net)	18.2	32.0	15.7	15.6	-17.9	16.0	19.3	15.9	17.9	19.1
Drawings	21.3	34.8	23.5	23.5	24.3	25.1	25.9	26.0	28.0	30.1
Amortization	-3.1	-2.8	-7.8	-7.8	-42.2	-9.1	-6.6	-10.1	-10.1	-10.1
Short-term (net)	-10.0	-23.4	-4.9	15.2	-4.9	-4.9	-4.9	-4.9	-4.9	-4.1
Monetary capital (net)	0.8	8.8	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.1
Errors and omissions	2.3	-4.5	--	--	--	--	--	--	--	-
Overall balance	-18.6	-16.3	-39.9	5.5	-54.4	-36.2	-25.1	0.7	1.8	2.1
Financing	18.6	16.3	39.9	-5.5	54.4	36.2	25.1	-0.7	-1.8	-2.1
Change in net official reserves	7.2	9.8	0.5	-41.4	-10.3	-5.4	-9.7	-0.7	-1.8	-2.1
Of which: use of Fund resources (net)	(--)	(-0.5)	(9.7)	(6.6)	(-2.8)	(-3.3)	(-6.8)	(-8.8)	(-4.9)	(-0.1)
Debt relief	--	--	4.2	4.2	36.5	--	--	--	--	-
Exceptional financing	8.8	3.7	47.5	26.7	--	--	--	--	--	-
Multilateral creditors	0.7	--	27.8	17.4	--	--	--	--	--	-
Bilateral creditors	8.1	3.7	19.8	9.2	--	--	--	--	--	-
Change in external arrears (increase +)	2.6	2.9	-32.1	5.0	-37.1	--	--	--	--	-
Financing gap	--	--	19.8	--	65.3	41.6	34.8	--	--	-
(In percent of GDP, unless otherwise specified)										
Trade balance (deficit -)	-4.6	-5.0	-5.7	-1.1	-3.0	-2.2	0.7	3.3	4.3	4.1
Current account (deficit -)	-8.8	-11.7	-12.0	-8.3	-7.6	-10.1	-6.8	-2.7	-2.6	-2.1
Excluding official transfers	-21.9	-26.5	-29.5	-19.9	-18.1	-20.7	-17.8	-14.4	-13.6	-12.1
Overall balance (deficit -)	-5.3	-5.4	-8.8	1.2	-10.9	-6.9	-3.2	0.1	0.3	0.1
Public external debt 1/										
(in billions of CFA francs)	193.2	209.3	426.4	416.8	378.2	410.5	436.5	443.6	456.6	475.1
(in percent of GDP)	55.1	69.7	94.1	93.2	75.8	75.0	74.4	70.7	68.0	66.1
Debt service 2/	1.7	2.1	3.0	3.1	9.4	3.2	2.8	3.2	3.0	2.1
Debt service ratio 2/ 3/	11.1	11.5	13.4	14.0	32.7	10.0	7.7	8.0	6.9	6.1
Net official reserves										
(in billions of CFA francs)	13.4	4.4	8.6	45.8	56.1	61.5	71.3	72.0	73.8	76.1
(in months of imports, f.o.b.)	1.3	0.4	0.6	3.1	2.9	2.6	2.8	2.6	2.4	2.1
Resource balance (deficit -)										
(in billions of CFA francs)	-68.4	-66.3	-111.9	-80.1	-85.2	-106.8	-97.9	-84.2	-85.7	-87.1
(in percent of GDP)	-19.5	-22.1	-24.7	-17.9	-17.1	-19.5	-16.7	-13.4	-12.8	-12.1

Sources: Data provided by the BEAC; and staff estimates and projections.

1/ Stock of the direct and guaranteed public foreign debt (including to the Fund).

2/ Excluding debt to the Fund.

3/ In percent of exports of goods and nonfactor services.

Table 7. Chad: Quantitative and Structural Benchmarks
Under the Staff-Monitored Program

(In billions of CFA francs)

	1994	Cumulative changes from September 30, 1994		
	End-Sept. 1/	End-Dec. 1994 Program	End-March 1995 Program	End-June 1995 Program
A. Quantitative benchmarks				
Net domestic assets of the banking system	39.36	11.69	22.72	8.61
Net credit of the banking system to the Government	42.58	6.17	6.05	4.87
Domestic payments arrears 2/	38.8	-3.90	-3.90	-3.90
External payments arrears 2/ Of which: in cash	38.6 (1.49)	-1.49 (-1.49)	-1.49 (-1.49)	-1.49 (-1.49)
External loans contracted or guaranteed by the Government on nonconcessional terms:				
- less than 1 year's maturity 3/	--	--	--	--
- 1 to 15 years' maturity	--	--	--	--
Government wage bill	17.00 4/	8.00	14.62	21.24
Tax revenue 5/	19.20	6.30	13.80	23.80
B. Structural benchmarks				
1. Collection of tax arrears from the 20 largest firms			December 31, 1994	
2. Reduction and consolidation of ministries' accounts with the banking system			December 31, 1994	
3. Increase in electricity rates of 10 percent			Before end-December 1994	
4. Promulgation of a law introducing excise taxes and a turnover tax (TCA) with two rates, at 5 percent (reduced rate) and 15 percent (normal rate)			Before end-December 1994	
5. Elimination of export taxes on agricultural products			Before end-December 1994	
6. Communication to the Fund of the results of a new census on military personnel			Before end-December 1994	
7. Reduction in military personnel to 25,000 staff			Before end-June 1995	
8. Second increase in electricity rates of 10 percent			Before end-June 1995	

1/ Stock data, except for government wage bill and tax revenue.

2/ No new accumulation of arrears is allowed, with the exception of external debt service payments for which a rescheduling is foreseen. The reduction in domestic payments arrears may be affected by the availability of external financing; in the above table no external budgetary financing has been assumed.

3/ Excluding normal import-related credits, on disbursement basis.

4/ Measured on a commitment basis; cash payments at end-September amounted to CFAF 10.37 billion, against an initial objective of CFAF 18.82 billion.

5/ Including the former Caisse Autonome d'Amortissement.

Table 8. Chad: Social Indicators, 1992

Population	6.0 million
Growth rate of population	2.4 percent per year
Life expectancy	47 years
Fertility rate	5.9 births per woman
Infant mortality	4 per thousand
Child malnutrition (under five)	35 percent of age group
Access to safe water	26 percent of population
Population per physician	30,031 persons
Population per nurse	3,396 persons
Immunization	17 percent
Primary school enrollment	59 percent
Female	36 percent
Male	83 percent
Secondary school enrollment	7 percent of age group
Illiteracy rate (age 15+)	70 percent
GDP per capita	US\$224

Source: World Bank, Social Indicators of Development, 1993.

Chad - Statistical Issues

1. Outstanding statistical issues

a. Real sector

Chad's statistical base is weak. No information on real sector statistics has been reported directly to STA in recent years. A few real sector data have been updated in IFS using the publication of the "Banque des Etats de l'Afrique Centrale" or UN publications. Despite this indirect updating, all real sector data are lacking for recent years.

b. Government finance

The STA data base covers data on central government operations for the period 1986 through 1991.

c. Balance of payments

Balance of Payments data are issued with lengthy delays. So far, STA has not yet received BOP data for 1992. Moreover, some important coverage weaknesses were identified by IMF staff, concerning the current account as well as the financial account. The Area Department proposed a technical assistance mission in balance of payments in the RAP for FY95.

2. Technical assistance missions in statistics (1991-present)

<u>Subject</u>	<u>Staff Member</u>	<u>Date</u>
Money and Banking Statistics (BEAC)	Mr. Garbis Iradian	Nov. 28-Dec. 11, 1992
Money and Banking Statistics (BEAC)	Mr. Gérard Raymond	April 10-23, 1991

3. Future activities

The identification and prioritization of technical assistance needs is intended to become an integral element of any medium-term adjustment program with the Fund.